- Under conditions of weak contract enforcement, people would limit their contracting to friends and family. Repeated games would spring up, where good behaviour is optimal. There would be an efficiency loss, because markets would become less competitive. A new player would not be able to dislodge friends and family from one's contracts.
- When contract enforcement is weak, firms would specialize less, there would be greater internal production and reduced use of contracting. This would adversely impact upon transactions and thus productivity.

These effects are present, but they are not particularly large. In this first cut of the analysis, the adverse impact of poor contract enforcement is relatively limited. The role of the judiciary, however, runs much deeper: it impacts upon the very requirement for an administrative state in addressing market failures.

Private solutions that solve market failure

When person A inflicts a negative externality upon person B, this is termed a 'tort' in common law. Under common law, person B is able to go to court and ask to be compensated for harm. Many negative externalities can be handled through this mechanism. If person A faces the credible threat that person B can win damages, this will constrain person A's behaviour.

This would remove the need for a state apparatus to coerce person A in ways that do not harm person B. All that is required is the common law of torts, and courts that enforce this law.

This pathway addresses a large part of the market failure associated with negative externalities and asymmetric information. This pathway breaks down when the courts do not work.

What about the problem where the persons adversely affected are many? A factory may emit pollution which may harm many individuals, none of